THE TARRIF – INFLATION PARADOX

Do strict tariffs actually drive prices up?

7 Pages

5 min read

Medium

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The Consensus vs. Reality

THE PREDICTION

When sweeping tariffs were announced, mainstream economists predicted a "massive surge" in inflation and a stronger dollar.

Standard theory suggests:

▲ Import taxes = ▲ Consumer prices

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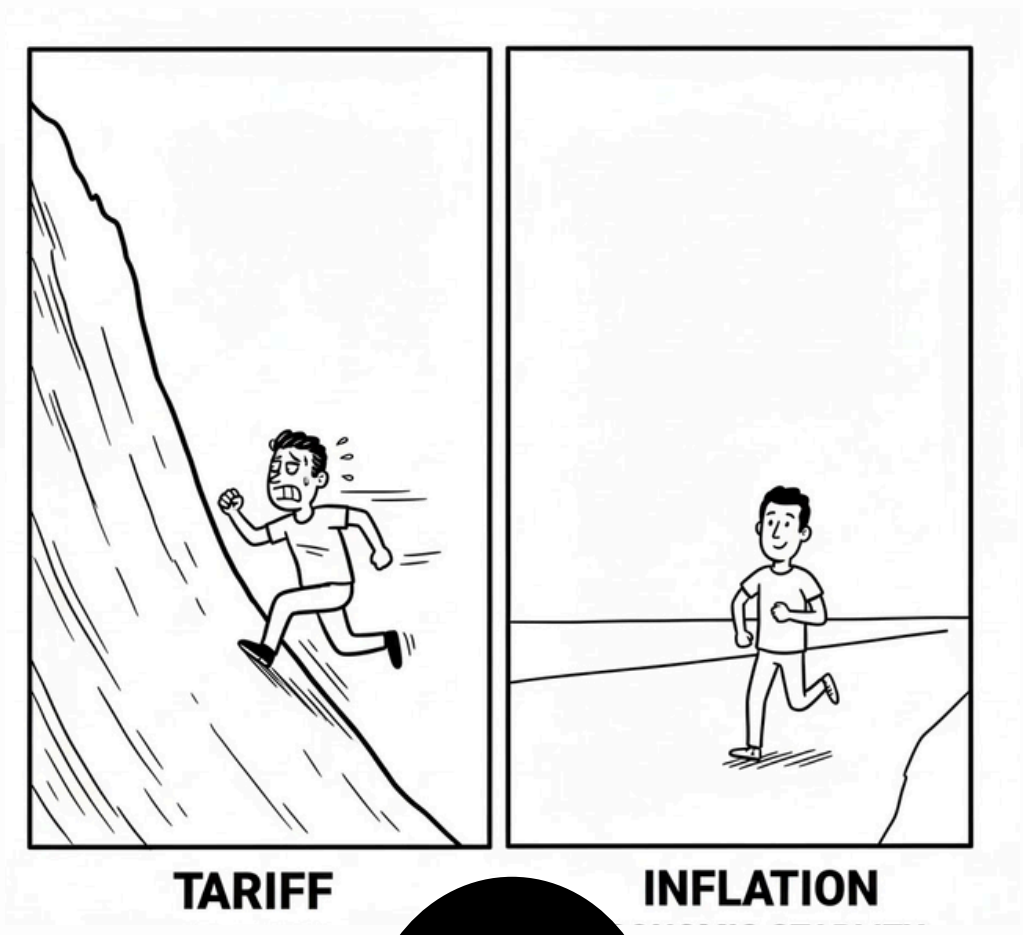
The Consensus vs. Reality

THE REALITY CHECK

Despite the highest tariffs in nearly a century, inflation has not surged as feared.

While inflation remains above the Fed's 2% target, it has simply "picked up" rather than exploded.



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The Historical Lens

Economists at the Federal Reserve Bank of San Francisco analyzed data from 1886 to 2017. Their findings contradict the standard inflation narrative.

Historically:

▲ 1 % tariffs ≈ ▼ 0.6 % inflation

Why?

Because tariff shocks create uncertainty

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The Mechanism (Supply vs. Demand)

The Demand Destruction

▲ **Import Costs:** While tariffs do raise import costs, the inflationary impact is muted.

▼ **Demand Falls:** Tariffs tend to hurt the broader economy. As uncertainty rises, businesses and consumers pull back.

Falling demand counterbalances rising import costs. Prices stagnate because activity slows down.

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The Loophole Effect

Are companies actually paying the headline tarrif rates? **Not exactly.**

A working paper from Harvard and the University of Chicago reveals a massive gap between policy and payment.

Headline Tariff Rate: **27.4%**
Real (Effective) Rate: **14.1%**

Why the gap?
Exemptions, loopholes, and strategic avoidance.

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The Manufacturing Myth

The administration predicted a "manufacturing renaissance." The data suggests otherwise.

- ▼**Hiring:** Slowed to a crawl since April 2025.
- ▼**Activity:** Manufacturing indices hit 14-month lows in Dec 2025.
- **Policy Response:** The Fed cut interest rates three times in late 2025 to combat weakness.

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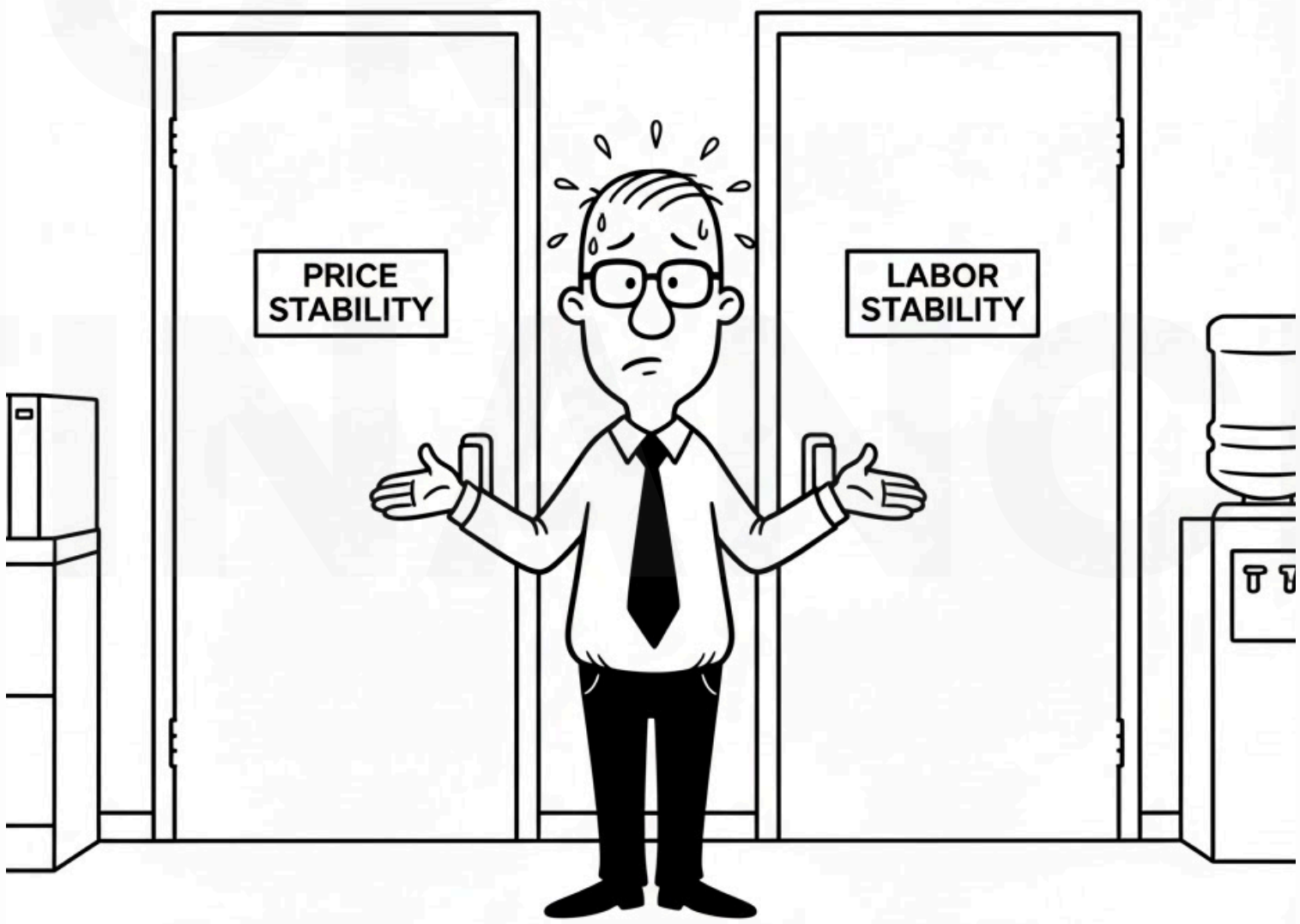
Take a moment to reflect...

If tariffs lower demand enough to offset inflation, they may solve the price problem while creating a growth problem (unemployment)

What would you prioritize in a tariff-heavy environment?



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Source: WSJ, Northwestern University, Fed Bank of San Francisco